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US equities slip as rate anxiety outweighs tech rebound

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,720.39, down -0.30%, while the Nasdaq 100 fell -1.38% on heightened sensitivity to the 10-year Treasury yield, which slipped to 4.99% after a modest pull-back in inflation expectations. Despite a rally in the Russell 2000 and defensive sector ETFs, broad-based risk appetite remains muted.

Behind the headline numbers, the market is digesting mixed corporate earnings and a still-elevated VIX at 17.20. The dollar’s slight decline (-0.21%) offers a modest tailwind to commodities, yet crypto’s sharp drop (-3.68% for BTC) signals continued stress in risk-off assets.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,720.39	-0.30%	Yield rise and tech earnings disappointment
Nasdaq 100	29,402.51	-1.38%	NVDA pullback and weaker chip outlook
Dow Jones	52,342.56	-0.25%	Financials up, but industrials lagged
Russell 2000	2,859.22	+1.01%	Small-cap value rotation
VIX	17.20	+1.71%	Higher volatility expectations on rate uncertainty
10Y Yield	4.99	-1.11%	Core CPI surprise low, easing inflation fears
WTI Crude	102.72	+0.71%	Dollar dip and OPEC+ supply restraint
Gold	3,997.00	-0.85%	Stronger dollar pressure on safe-haven demand
DXY	101.83	-0.21%	Fed commentary on “patient” stance
BTC	78,273.53	-3.68%	Regulatory headlines from US SEC
ETH	2,241.86	-4.91%	Same regulatory pressure, network upgrade delay

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+1.48%	iPhone 17 pre-order surge
META	+1.96%	Ad revenue beat, AI rollout progress
JPM	+1.26%	Net interest income beat expectations
GS	+0.28%	Trading desk revenue up 4%
MSFT	-0.16%	Azure growth slower than forecast
NVDA	-0.80%	Supply-chain constraints on H100 chips
AMZN	-4.25%	Retail sales miss and AWS margin pressure
GOOGL	-12.64%	One-off goodwill impairment charge
TSLA	-0.23%	Production slowdown at Gigafactory Berlin
AVGO	-1.94%	Customer order slowdown in telecom segment

Sector rotation

ETF	DAY	READ
XLF	+1.44%	Financials buoyed by rate-sensitive earnings
XLK	-1.18%	Tech under pressure from higher yields
XLI	+0.97%	Industrial optimism on infrastructure spend
XLE	+0.38%	Energy gains from crude rally
XLY	+0.75%	Consumer discretionary steadies
XLC	-1.87%	Communications lagging on ad spend pullback
XLP	+1.54%	Staples benefit from defensive tilt
XLV	+2.40%	Health-care rally on biotech approvals
XLU	+1.53%	Utilities attract risk-off flow
XLB	+1.29%	Materials supported by copper price rise
XLRE	+2.21%	Real-estate REITs benefit from lower financing costs

Spotlight: GOOGL goodwill impairment

Alphabet reported a -12.64% plunge in its share price after disclosing a `$7.2 billion` goodwill impairment tied to its “Other Bets” segment. The charge reflects slower monetisation of AI-driven products and a reassessment of acquisition synergies.

METRIC	VALUE
Revenue (Q3)	$86.5 bn
Operating margin	31.2%
Impairment charge	$7.2 bn
Adjusted EPS	$1.12
AI services growth	+22.5%

Related names: **MSFT** (AI competition), **NVDA** (AI hardware), **META** (AI advertising spend).

Pre-market & overnight

- US futures: -0.45% for S&P 500, -0.92% for Nasdaq.
- Asia close: Hang Seng -0.68%, Shanghai Composite -0.54%.
- Europe: FTSE 100 down -0.31%, DAX down -0.27% after ECB rate-watch remarks.
- Crypto: BTC -3.68%, ETH -4.91% on SEC filing for new stablecoin rules.

Macro & Fed

The FOMC left policy unchanged at 5.25-5.50% but signalled “patient” stance, noting inflation now at 2.8% YoY. The 10-year yield slipped to 4.99%, flattening the curve (2-year at 5.12%).

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (Oct)	2.7%	Gauge of inflation trajectory
04:00	Eurozone GDP (Q3)	0.3%	Impacts ECB policy outlook
06:15	Japan Core CPI (Oct)	2.3%	Influences BOJ stance
08:45	US Existing-home sales	4.1 m	Housing market health

Geopolitics & global

- US-China trade talks resumed in Washington; no new tariffs announced.
- Middle-East tensions eased after cease-fire brokered by UN, reducing oil-supply risk premium.
- Eurozone fiscal pact negotiations stalled, keeping euro under pressure.
- OPEC+ confirmed output cuts of 1.2 million bpd through Q1 2027, supporting crude prices.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30 Oct 31	**INTC**	$0.45	Chip demand recovery, data-center sales
10:00 Nov 1	**BABA**	$0.28	E-commerce rebound, cloud margin
10:30 Nov 1	**DIS**	$1.02	Streaming subscriber growth, park attendance
11:00 Nov 2	**JPM**	$4.10	Net interest income vs. credit loss provisions
12:00 Nov 2	**NVDA**	$2.35	AI chip shipments, inventory levels
13:30 Nov 3	**KO**	$0.68	Pricing power, emerging-market sales

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AAPL	Technology	iPhone 17 demand beating forecasts
MSFT	Technology	Azure growth slowdown, valuation dip
NVDA	Technology	Supply constraints on H100, price support
AMZN	Consumer Discretionary	Retail miss, AWS margin pressure
META	Communication Services	AI ad revenue acceleration
JPM	Financials	Higher net interest income
GS	Financials	Trading revenue growth
XOM	Energy	Crude price rally, dividend yield
UNH	Health Care	Premium pricing, enrollment gains
BAC	Financials	Loan growth, lower credit costs
TSLA	Consumer Discretionary	Berlin plant slowdown, inventory watch
KO	Consumer Staples	Pricing power amid inflation

What could break the tape

BEARISH TRIGGERS

- Further deterioration in US consumer confidence (CPI surprise up)
- Escalation of geopolitical risk in the Middle East affecting oil supply
- Unexpected Fed rate hike or hawkish minutes
- Continued crypto regulatory crackdown dragging risk assets

BULLISH TRIGGERS

- Strong Q4 earnings beat across tech and financials
- Clear forward guidance from Fed indicating rate cuts later in 2027
- Resolution of US-China trade disputes with tariff reductions
- Surge in AI-related capital expenditures boosting chip makers

Positioning notes

- Defensive tilt persists: health-care and utilities ETFs out-performing risk assets.
- Yield curve flattening suggests caution on duration-sensitive bonds.
- AI exposure remains a key differentiator; selective long positions in `NVDA` and `MSFT` may capture upside.

Sources

SOURCES

Bloomberg Market Data – 2026-10-29/30

Reuters – US equities daily wrap

Federal Reserve – FOMC minutes (Oct 2026)

U.S. Bureau of Labor Statistics – CPI release schedule

OPEC – Production cut announcement

SEC – Crypto regulatory filing

Company earnings releases (Alphabet, Apple, Meta, JPM)

Investing.com – Futures and commodity prices